

BENEFITS OF BLACK MONEY

The first and biggest benefit of black money is that we can avoid paying taxes to the government and hence save the amount. The saved amount can be used to pay off expenses and liability in the near term. For instance, if a major expense is coming up in 1 year or less, we are effectively only taking the risk for one year that we will not come on the radar for IT companies. However, if we get caught, there are huge legal and ethical implications attached to the same. There are a great dilemma and financial stress attached to it. Thus it is now up to us if we want to risk jail, penalties, and not meeting our financial goals to save some taxes and create a loophole in our financial plan. Also, if we see, the biggest of the big investors have not expanded their wealth using black money. They have grown by keeping their asset options wide open. We call black money 'a train without an engine'. It might be the longest and biggest train, but without the engine, it will take us nowhere. It looks good in the short term as we save on taxes, however, the money does not grow at a fast pace going forward and therefore the result of the return is lower than the legitimate money.

